In theory, option selling comes with unlimited risk. However, a trader can manage this risk in two ways: 1) placing a SL buy order and 2) hedging.

Option sellers will lose money only when the price shows a significant move quickly in the opposite direction.

## How to Pick Strike Price in Options Trading?

The strike price is the fixed price at which the underlying instrument (stock or index) can either be bought or sold.

When a trader buys a call option, he is purchasing the right to buy the stock/index at a predetermined price.

Assume you have decided to sell the same call option at the same strike price and same expiry.

It indicates that you are selling the buyer the right to purchase the stock at a predetermined price (strike price), and hence you receive a premium.

The strike price also plays a crucial role. Don't forget that if the underlying instrument doesn't reach the strike price, then the premium becomes zero.

But if you select a very far strike price, you will receive a low premium which reduces ROI for your trade.

Hence, irrespective of whether you buy or sell options, picking the right strike price is crucial in options trading.

Let me take an example to explain the same in detail.

Date – 29th July 2021, time – 9.20 AM

Instrument – Nifty